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Adobe's Cloud Hits First Headwind

Larger deals taking longer to close, but cloud transition still packs a lot of growth ahead

By Dan Gallagher
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The Adobe Systems logo on one of the software maker's products. LUCY NICHOLSON/REUTERS

Speeding up means speed bumps hurt a bit more. Just ask Adobe Systems ADBE **0.82%** ▲.

Among the older software companies once reliant on plastic compact discs, Adobe stands out for its relatively rapid transition to the cloud. Five years ago, digital subscriptions accounted for just 15% of Adobe's annual revenue. That number now stands at 84% for the nine-month period ended Sept. 1.

And while that conversion might seem closer to the end than the beginning, Adobe's business keeps accelerating. The company's fiscal third quarter results posted Tuesday marked the ninth consecutive period of revenues growing more than 20% on a year-over-year basis—a rate the company hasn't seen in at least a decade. Profitability continues to improve as well; operating margins came in at 30% for the quarter compared with 20% just two years ago.

But in corporate tech, bigger sales get more eyeballs. Adobe warned in its earnings call Wednesday that some larger deals for its Experience Cloud service were taking longer to close, leading it to lower its near-term outlook for that business. Closing the deals is more a matter of when than if, according to the company's explanation. But with a stock already up 50% for the year and fetching a generous multiple of 35 times adjusted forward earnings, investors were more primed to take some profits. Adobe's share price slipped nearly 4% Wednesday.

Experience Cloud includes most of Adobe's software used by companies to plan marketing campaigns. It is smaller than the flagship Creative Cloud business, but has been a steady growth driver as more companies shift this activity online. Experience Cloud now accounts for a little over one-quarter of Adobe's total sales, and Adam Holt of MoffettNathanson projects revenue for that service will jump 45% over the next two years. That means plenty more fuel to keep Adobe in the race.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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